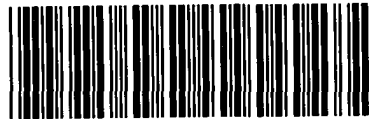


Starbucks Coffee Company (UK) Limited

Annual Report and Financial Statements
For the 52-week period ended 29 September 2024

Company Number 02959325

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Starbucks Coffee Company (UK) Limited

Company Information

The Directors	A Rayner M Lingham B Malou (Appointed 11 Nov 2024)
Registered number	02959325
Registered office	Building 4 Chiswick Park 566 Chiswick High Road London W4 5YE United Kingdom
Independent auditor	Deloitte LLP Statutory Auditor 2 New Street Square London EC4A 3BZ United Kingdom
Bankers	Citibank Citigroup Centre Canary Wharf London E14 5LB United Kingdom
Solicitors	Gowling WLG LLP 2 Snowhill Birmingham BR4 6WR United Kingdom

Starbucks Coffee Company (UK) Limited

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Starbucks Coffee Company (UK) Limited

Strategic report For the period ended 29 September 2024

The Directors present their Strategic report for the 52-week period ended 29 September 2024 ("FY24") (2023: 52-week period ended 1 October 2023 ("FY23")) for Starbucks Coffee Company (UK) Limited (the "Company"), a private company limited by shares. In preparing this Strategic report, the Directors have complied with s414C of the Companies Act 2006.

The principal activities of the Company are the retail and wholesale trade of gourmet coffee, tea and related products in the United Kingdom. The Company is a wholly owned subsidiary of Starbucks Coffee Holdings UK Limited, which in turn is owned by Starbucks Corporation.

The Company has been licensed, by Starbucks EMEA Ltd, to utilise the Starbucks brand across the United Kingdom, for which it pays royalties.

Financial review and key performance indicators

The Company has adopted FRS 101 — *Reduced Disclosure Framework* and has taken advantage of the disclosure exemptions allowed under this standard.

The Company's key financial and other performance indicators during the 52 week period were as follows compared to a 52 week period in FY23:

	29 September 2024	1 October 2023
	52 week	52 week
	£M	£M
Turnover	525.6	547.7
Operating profit before impairment	0.9	24.6
Operating (loss) / profit	(27.5)	21.7
(Loss) / profit for the financial period	(36.2)	9.7
Shareholder's funds	4.9	38.3
Current assets as a % of current liabilities	43.5%	54.5%
Number of stores and employees		
Total number of stores at year end	1,240	1,168
Number of company operated stores	378	354
Average number of employees	5,596	5,683

The full results for the period are shown on page 30. Turnover in the period decreased by 4% to £525.6M (FY23: £547.7M) driven by a challenging consumer environment. The loss for the period, after taxation, is £36.2M (FY23: profit £9.7M).

During the period, the cost-of-living pressures accelerated as persistent inflation and higher interest rates left consumers with less disposable income, resulting in many adjusting usual spending habits, leading to a reduction in year-on-year transactions. This was coupled with an increasingly competitive environment in key cities as new entrants to the market invested in new stores. Misperceptions about the brand relating to events in the Middle East also affected footfall in some locations in the first half of the year. Despite the challenging economic climate in the UK, the company continued to see strong ticket value due to strong food sales, continued growth of 34% in the Starbucks Rewards Loyalty platform and an improved pricing architecture, partially offsetting the transaction decline.

The operating loss for the period was £27.5M (FY23: profit £21.7M) and the operating margin decreased to (5.2)% (FY23: 4.0%). The decrease in margin was primarily driven by an increased impairment charge (£25.5M year on year) and the deleverage from a reduction in transactions combined with wage inflation and persistent commodity price inflation year over year. The impact on transactions was mainly felt in major cities where the Company operated store presence is dominant,

Starbucks Coffee Company (UK) Limited

Strategic report (continued) For the period ended 29 September 2024

driving a greater proportion of fixed costs compared to sales for the Company. These margin and labour impacts were partly offset by management-led efficiencies which included procurement and supply chain efficiencies, more efficient marketing spend and a reduction in non-core operating costs.

Net operating profit before impairments of £0.9M (FY23: £21.7M) was driven by the challenging consumer environment and cost impacts noted above. Net impairments in the current year of £28.4M (FY23: £2.9M), including impairments on 145 stores £28.7M (2023: 67 stores - £5.2M), and reverse impairments on 35 stores of £0.3M (2023: 33 stores - £2.2M).

The Company reported a loss before tax in the period, of £35.2M (FY23: profit before tax of £16.9M). During the period, the Company reported a corporation tax charge of £1.0M (FY23: £7.2M), reflecting the charge on taxable profits in the period, after including deferred tax on temporary differences, accounting adjustments made for fixed asset charges and non-deductible expenses.

The Company opened 100 new stores in the period, ending the year with 1,240 stores (FY23: 1,168 stores). 378 stores are Company operated (FY23: 354 stores) and 862 are licensed/franchised stores (FY23: 814), representing a 30/70 ratio (FY23: 30/70). The Company continues to seek growth through its licensee partners as part of its strategy whilst also growing its Company operated estate.

The average headcount number for FY24 reduced to 5,596 (FY23: 5,682) predominantly driven by fewer transactions. A headcount breakdown can be found within note 7 of the accounts.

Business overview

The UK coffee market was challenged by macroeconomic headwinds in the financial year. The impact of the cost-of-living crisis and misperceptions about the brand relating to events in the Middle East affected footfall. The UK coffee market has also become highly competitive with new entrants and localised specialty coffee houses growing their market share. The year was also impacted by wage inflation, with the Company continuing to invest in partners, including paying a premium to the national living wage. Coffee inflationary pressures seen in FY23 eased during the fiscal year and the Company has benefited from a rebalance, however higher cost impacts from dairy and cocoa have been felt in FY24 which has continued to put pressure on margins. The Company continued to navigate changing consumer demands and serving the need for a consistent third place experience and convenience, for both digital and in-store customers.

Despite the current economic climate, the Company delivered on its commitment to open 100 new stores, demonstrating a commitment to its growth strategy supporting the brand with continued strong presence for the future. The Company has made good progress in FY24 in executing strategy with focus on developing new store formats to support changing customer preferences and support the continued cost management agenda.

New store openings were targeted in key drive-thru and city locations with high traffic and footfall counts. Leveraging market planning insights, the Company strategically identified opportunities for expansion in both existing and untapped markets. This is despite increasing competition to acquire properties in the right location.

During the period, the Company continued to place a strong emphasis on digitalization and technology, enhancing its loyalty program by running innovative and engaging campaigns including collaboration with Stanley Cup and the Harry Kane Foundation. These activations led to an increase in customer spend and growth in the programmes active members. The Company will continue to build upon this in 2025 through the rollout of further digital initiatives and continuing innovation leveraging the Company's global capabilities.

The Company has responded to changing consumer preferences and economic conditions by actively managing its menu offerings and pricing strategies. Continuation of the 'first taste' of our iconic Autumn and Holiday limited time offers for rewards members, along with key collaborations such as the Stanley Cup has kept the brand relevant, and consumers engaged. The trial of freshly baked in store

Starbucks Coffee Company (UK) Limited

Strategic report (continued) For the period ended 29 September 2024

food products has proved promising and the roll out across more stores into FY25 continues to support consumer convenience and an increase in food sales. Selected strategic price increases were also taken in line with rising input costs into the business as well as ensuring options for the cost-conscious consumer.

The Company opened 32 new Company operated stores during FY24 generating new jobs for the areas, whilst eight stores permanently closed as they reached the end of their lease term. The Company has increased the number of new licensed stores by 68, with 20 closed in the period.

In total, the Company has 384 drive-thru stores at the end of FY24, of which 49 are Company operated stores, and 335 are licensed stores. Company operated growth in FY25 will focus on new smaller store format innovation to allow openings across town locations as well as continued openings in high traffic count locations across the United Kingdom.

On the 14 October 2024, Starbucks Corporation acquired 23.5 Degrees Limited, the brand's largest local licensing operator in the UK, bringing an additional 113 stores under Company Operated Ownership in the UK. This acquisition supports the brand's growth strategy in the UK and reflects the continued confidence in the markets future outlook. It is anticipated in the future that these stores will be integrated into the Company.

The Company continues its focus on sustainability and social responsibility. Its ongoing partnership with the Hubbub Foundation and NHS Charities Together (which included offering free drinks to NHS workers for one day during the year and NHS employee discount throughout the year), all contributed to its commitment to support the new Starbucks global mission and community promise below:

Starbucks Global Mission - To be the premier purveyor of the finest coffee in the world, inspiring and nurturing the human spirit — one person, one cup and one neighbourhood at a time.

Starbucks Global Promise - The mutual success we collectively commit to:

Our partner promise: Bridge to a better future

Our customer promise: Serve the world's finest coffee, with a moment of connection

Our farmer promise: Ensure the future of coffee for all

Our community promise: Contribute positively

Our environmental promise: Give more than we take

Our shareholder promise: Generate long-term returns

The Company in FY24 progressed its strategy to become an employer of choice and continued to review its pay and benefits structures along with the partner experience to remain an attractive employer in the market.

With the range of benefits that the Company offers its store partners (employees) in the UK, the Company is confident that it is heading into FY25 in a strong position to attract and retain key talent for its stores. Further incentives and benefits were provided in the year, including but not limited to salary increases, bonuses and tenure pay.

The Company has launched a new bonus scheme for store supervisors and baristas which allows green-apron partners to share in the Company's success on a more financially sustainable basis. This bonus scheme is directly linked to performance and is on top of those launched at the end of FY22 around free food on shift and an extra days holiday for store partners. The Company continues to monitor key KPIs such as partner turnover to ensure this is at the forefront of priorities for FY25.

The Company's long-term strategy in the region is aligned to the Global "Back to Starbucks" strategy to refocus on what has always set Starbucks apart — being a welcoming coffee-house where people gather, and where we serve the finest coffee, handcrafted by our skilled baristas. Our mission is to be

Starbucks Coffee Company (UK) Limited

Strategic report (continued) For the period ended 29 September 2024

the premier purveyor of the finest coffee in the world, inspiring and nurturing the human spirit — one person, one cup and one neighbourhood at a time.

- We will continue to drive operational efficiency through strengthening and scaling digital, and further progress efforts across Starbucks Rewards, expanding digital and technology collaborations to elevate the partner and customer experience.
- We will optimise our menu, resulting in a simplified approach that ensures we focus on delivering our core offering every time.
- Continue to unlock efficiency to generate savings – with two thirds of these savings outside the store operations – to deliver returns to Starbucks Corp through margin expansion and earnings growth, whilst ensuring competitive consumer pricing.
- Everything we do starts and ends with our green apron partners. Setting up our partners to be successful in every interaction results in great experiences for our customers – they go hand in hand. We are developing our barista onboarding system and strengthening our store manager capability.

Principal risks and uncertainties

The retail speciality coffee market environment remains highly competitive with many of the main players seeking to grow market share. The Company's objective is to cement Starbucks as a well recognised and respected brand. The Company plans to invest in its partners to elevate the Starbucks experience, grow revenue and profits in existing stores and other channels, to open new profitable stores, and continue to innovate new products.

The potential business risks and uncertainties which the Company anticipates could have a significant effect on the achievement of these objectives, were they to occur, are shown below:

- Economic conditions (inflationary and high interest rate environment currently being seen across all areas of business, as well as a potential economic downturn).
- Damage to the brand by not maintaining product integrity or by not innovating new products, thereby failing to satisfy the existing customer base or attract new customers.
- Failure to anticipate, appropriately invest in and effectively manage the human, information technology and logistical resources necessary to support the growth of the business. This includes ensuring the competence to deliver the Starbucks experience to millions of customers through multiple sites.
- Adverse impacts resulting from negative publicity regarding the Company's business practices.
- Loss of business confidence through failure to maintain or build market share in the very competitive UK speciality coffee market.
- Increased administration and operational costs due to new and emerging laws and regulations.
- Significant increase in the market price or significant decrease in the availability of high-quality Arabica coffee or fluid milk could adversely affect the Company's business and financial results.
- Foreign currency risk exposure.
- Increases to labour costs and/or a shortage of available flexible labour.
- Climate related risks (as discussed further within the climate related financial disclosure section of this report).

The key elements of the Company's system of internal control that minimise and mitigate against the perceived risks are:

Delegation: there is a clear organisational structure with lines of authority and responsibility for control; and procedures for reporting decisions, actions and issues. This structure enables the Directors and senior leadership team to control activities and resolve issues in a prompt and effective manner.

Reporting: key business performance indicators are reviewed and monitored on a regular basis. This ensures that the Company maintains performance standards in respect of, but not limited to, financial

Starbucks Coffee Company (UK) Limited

Strategic report (continued) For the period ended 29 September 2024

results, beverage and food experience to customers, cleanliness of stores and health and safety issues.

Internal audit: an internal audit function, based in Seattle, conducts an annual evaluation of the Company's internal controls over financial reporting which includes a written assessment of the effectiveness of such controls under Section 404 Sarbanes-Oxley Act.

Financial risk management: the financial risk management objectives are designed to ensure that the Company has sufficient proceeds from financial assets to fund obligations from liabilities as they fall due.

The most important components of financial risks are interest rate risk, currency risk, credit risk, cash flow risk and price risk. The Company does not have any third-party loans. It has the support of its ultimate parent, Starbucks Corporation, which is able to provide loans as required and details are outlined under the Going Concern section of the Directors' report.

Due to this policy and the nature of the Company's business as a retailer, the Directors consider interest rate risk, cash flow risk and credit risk mitigated. Interest rate hedging has not been considered necessary during the period. The Directors consider the most relevant financial risks are price risk and currency risk. Although coffee prices are subject to considerable volatility, Starbucks tends to trade on a negotiated basis with long-term partners at a substantial premium above commodity coffee prices. The Directors consider that these two factors reduce exposure to price risk. The Company does not currently consider its foreign exchange exposure to be significant and hence does not have any forward contracts in place.

Section 172 Statement

In accordance with Section 172 of the Companies Act 2006, the Directors of the Company have acted in a way they consider to be in good faith and would be most likely to promote the success of the Company for the benefit of its members as a whole. In doing so they have regard to the factors noted below:

- a) The likely consequences of any decision in the long-term;
- b) The interests of the Company's employees (partners);
- c) The need to foster the Company's business relationships with suppliers, customers and others;
- d) The impact of the Company's operations on the community and the environment;
- e) The desirability of the Company maintaining a reputation for high standards of business conduct; and
- f) The need to act fairly as between members of the Company.

The Company's business model and strategy is designed to have a long-term, beneficial impact on the Company's success by ensuring the continued success of the Starbucks experience through the sale of coffee to the general public.

The Company's employees (partners) are the cornerstone of its business and the Company ensures its common values are shared. To meet standards of excellence, the health, safety and well-being of the Company's partners is critical. The Directors are dedicated to developing all partners' talents to reach the Company's goal and meet on a regular basis with partners to provide assistance. Directors also agree and oversee required training, including health and safety.

The Company aims to act responsibly and fairly and Directors, together with the senior leadership team and wider management, engages with its regulators, investors and suppliers. Directors are regularly updated by management on developments in market regulations which allows them to make informed decisions.

Starbucks Coffee Company (UK) Limited

Strategic report (continued)
For the period ended 29 September 2024

Streamlined energy and carbon reporting

As the Company's revenue and stores growth continues, the Company's energy consumption has seen an overall increase. However, in line with the Company's commitment towards its climate-related goals, the Company has been able to reduce consumption at a store level (on a per store basis) through various initiatives (these goals and initiatives have been discussed in the Climate-related financial disclosures section of this report on page 19).

For the reported period, the Company's overall gas consumption has decreased from 95.84MWh in FY23 to 80.08MWh in FY24 and electricity consumption has increased from 25,761 MWh in FY23 to 27,169 MWh in FY24.

The Company's overall reported CO₂e Scope 1 & 2 emissions for FY24 increased 2% from 5,588 tCO₂e in FY23 to 5,697 tCO₂e in FY24. The emissions per million of revenue has slightly reduced against the previous period as follows: FY24 at 16.35 tCO₂e/million revenue (FY23 at 16.44 tCO₂e/million revenue).

Carbon reporting methodology

To calculate the emissions levels above, the Company has taken the total energy consumption for all operational activities within the UK and converted the energy used into carbon dioxide equivalent emissions using the relevant DEFRA Conversion Factors for Green House Gas Reporting for the appropriate years.

Fuel or energy use is based on purchase invoices and actual consumption, in cases where this information isn't readily available estimations have been used. The Company aims to collate from at least 75% of data from the Company, as defined by floor space area of our offices and data centres, across the total of all UK locations.

In order to represent the impact of the whole Company, a scaling factor is applied to the measured emissions based on representative data collected from the UK floor space area. The aim is to account for the impact of the buildings from which data was not available or collated.

The Company has used the 'Environmental reporting guidelines: including mandatory greenhouse gas emissions reporting guidance' June 2013, data gathered to fulfil our requirements under the Energy Savings and Opportunity Scheme (ESOS).

The Company has adopted a methodology that is based on well-established frameworks. These include the UK government's Environmental Reporting guidelines (DEFRA, June 2013) and internationally recognised guidelines such as the WRI/WBCSD Greenhouse Gas Protocol (GHG Protocol).

For the purpose of the intensity calculations, revenue from UK equity stores is taken from our FY24 annual report and accounts.

The Company have reported both a location-based and a market-based data. Further details around climate disclosures for the Company can be found in the Climate related financial disclosure section of these accounts.

This report and financial statements were approved and authorised for issue by the Board of directors on 27 March 2025.

Michael Lingham

M Lingham
Director

Starbucks Coffee Company (UK) Limited

Directors' Report For the period ended 29 September 2024

The Directors present their report and the audited financial statements of Starbucks Coffee Company (UK) Limited (the "Company") for the 52-week period ended 29 September 2024 (2023: 52-week period ended 1 October 2023).

Disclosures required under s416(4) which have been elevated to the Strategic report are:

- Financial risk management objectives and policies.
- Price risk, credit risk, liquidity risk and cash flow risk.
- Energy and carbon reporting.

Principal activities

The principal activities of the Company are the retail and wholesale trade of gourmet coffee, tea and related products in the United Kingdom.

Directors

The Directors who served throughout the period and up to the date of signing the financial statements, are shown below:

A Rayner

M Lingham

B Malou (Appointed 11 Nov 2024)

Directors' liabilities

The Company has granted an indemnity to one or more of its directors against liability in respect of proceedings brought by third parties, subject to the conditions set out in the Companies Act 2006. Such qualifying third party indemnity provision remains in force as at the date of approving the Directors' report.

Dividends

During the period, the Company did not pay or recommend to pay a dividend (FY23: £nil).

Going concern

The Directors have prepared forward looking cash flow projections as part of their going concern review which indicate that the Company will have sufficient resources to meet its liabilities as they fall due for at least the next 12 months from the signing of the financial statements.

On 1 January 2024 the Company entered into a revolving credit agreement with the ultimate parent company for £40,000,000 (FY23: £nil) for 12 months to 31 December 2024. The interest rate due on the facility is fixed is 5.47% FY23: Nil).

On 9 December 2024 the Company received a capital injection of £30,000,000 (FY23: £nil) from the ultimate parent company. On this date the company also paid down £20,000,000 of the Intercompany revolving credit agreement (FY23: £nil).

At 31 December 2024 £20,000,000 remained outstanding on the revolving credit agreement and the agreement was extended to 31 December 2025 with a fixed interest rate of 5.19%.

Furthermore, the Company has received a commitment of financial support from Starbucks Corporation for at least the next 12 months from the date of the signed accounts. Based on these matters, and having made enquiries of the ultimate parent, notwithstanding the current uncertain economic conditions, the Directors have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. Accordingly, they continue to adopt the going concern basis in preparing the financial statements.

Starbucks Coffee Company (UK) Limited

Directors' Report (continued) For the period ended 29 September 2024

Business relationships

A memorable customer experience in store is core to the Company's mission. The Company's green apron partners in both the Company operated and license stores are vital to delivering this customer experience and the Company has continued to invest in the Attensi gamified learning platform to ensure a consistent experience for customers across the estate. The Company has also outsourced its customer care service to an industry leading expert to ensure a more accurate understanding of customer feedback.

Our licensing operations team continue to build strong trust-based relationships with our licensees. Regular updates and strategic meetings are held which helps to keep the dialogue going, to build and nurture the Starbucks brand within the UK.

The Company's supply chain team engage closely with key suppliers, to ensure that the Company has strong commercial relationships and to mitigate the risks of any potential supply chain impacts that could affect its business.

Relationships are also maintained with banks, government bodies and registered charities and professional service firms.

Future developments

The Company continues to focus on its goals in 2025 to navigate the challenging market conditions that are likely to continue including recessionary pressures, cost of living crisis and the increased cost pressures of the Government's Autumn budget in relation to NI and business rates changes. While this may impact comparable (like for like) sales per store and operating margins, we expect the business to hold up well as we maintain focus on opening new stores, cost management, pricing opportunities, automation efficiencies and continuing to make strategic growth investments.

On the 14 October 2024, Starbucks Corporation acquired 23.5 Degrees Limited, the brand's largest local licensing operator in the UK, bringing an additional 113 stores under Company Operated Ownership in the UK. This acquisition supports the brand's growth strategy in the UK and reflects the continued confidence in the markets future outlook. It is anticipated in the future that these stores will be integrated into the Company.

Events since the Balance sheet date

Subsequent to the balance sheet date, the Company undertook the following significant events:

Capital contribution

On 9 December 2024 the Company received a capital injection of £30,000,000 (FY23: £nil) from the ultimate parent company. On this date the company also paid down £20,000,000 of the Intercompany revolving credit agreement (FY23: £nil).

At 31 December 2024 £20,000,000 remained outstanding on the revolving credit agreement and the agreement was extended to 31 December 2025 with a fixed interest rate of 5.19%.

Acquisition of a new licensee

On 14 October 2024, Starbucks Corporation acquired 23.5 Degrees Limited, the brand's largest local licensing operator in the UK, bringing an additional 113 stores under Company Operated Ownership in the UK.

Both events are considered a non-adjusting event and does not impact the financial position reported as of 29 September 2024.

Starbucks Coffee Company (UK) Limited

Directors' Report (continued) For the period ended 29 September 2024

No other matter or circumstance has arisen since 29 September 2024 that has significantly affected, or may significantly affect the consolidated entity's operations, the results of those operations, or the consolidated entity's state of affairs in future financial years.

Political contributions

No political contributions were made in the current year or previous year.

Disabled employees (partners)

The Company recognises its responsibility towards individuals that may have a disability and gives full and fair consideration to applicants in positions suited to their abilities where appropriate openings exist. Where partners become disabled during their service, every effort is made to provide them with meaningful support and assistance and continued employment. It is the policy of the Company that the training, career development and promotion of disabled partners should, as far as possible, be consistent with that of other partners.

Employee (partner) involvement

The Company's partners are integral to the success of the business, and the Company is committed to supporting them to have a rewarding and meaningful career at Starbucks. 2024 was a year where, similar to prior years, the Company sought new ways to ensure that green apron partners were recognised for their contribution to the Company. Further incentives and benefits were provided in the year, including but not limited to salary increases, maintaining a premium to the national living wage and tenure pay.

The Company is committed to supporting the wider community through its Opportunity Hiring Programme. The Company plays its part in helping people acquire new skills and paid employment accessed through a variety of external partnerships. Its priority is to inspire and enable young people to build sustainable life and career development through an educational route that works for them, while facing the realities of paying the bills. This is supported through offering quality, progressive apprenticeships, as well as many other career opportunities.

Aside from the Company's commitment to employing young people, it has a strong legacy of being a diverse and inclusive employer, operating a number of different social impact projects and initiatives within the communities in which it operates. These include initiatives aimed at supporting those who are furthest away from the job market, through pre-employment training programmes, specifically targeting those who are not in employment, education and training and priority groups, such as veterans and refugees.

To further support its partners in creating an environment in which inclusion, diversity and wellbeing are prioritised, the Company has rolled out a number of training programmes this year through its Attensi training platform. These include inclusion & diversity training. The Company also introduced new inclusive policies, such as support for menopause, domestic violence and study leave for retail partners.

In FY23 the Company launched British Sign Language training across all of our stores in the UK, with well over 10,000 green apron partners completing this training to date. This training, which educates our partners on how to create a truly welcoming environment for members of the deaf community, was developed in partnership with the British Deaf Association and has received significant external recognition, winning two awards at the 2024 British Training Awards.

Starbucks Coffee Company (UK) Limited

Directors' Report (continued) For the period ended 29 September 2024

Employee (partner) training

The Company will continue to commit to apprenticeships in 2025 and aspires to offer a further 150 apprentices across level 2 (barista), level 3 (shift supervisor), levels 4 and 5 higher apprenticeships for store and district managers, as well as a suite of apprenticeships in a variety of different disciplines all the way up to level 6 (degree level), for our head office (support centre) and field based partners. In addition to this, the Company has extended its apprenticeship programmes to its licensed partners.

The Company is committed to maximising its apprenticeship levy and has continued to innovate and redesign its programmes in line with apprenticeships standards.

The Company is committed to supporting its licensed business owners to provide great training, development and careers for partners, as well as developing a strategic forum to collaborate on people challenges and unlock solutions together. The Company is working in partnership to develop leaders across both company-operated and licensed stores, offering leadership development programmes across all ownership models.

The Company has made good progress in providing ongoing support for its retail leadership teams, having focused on developing a people leader programme for store managers as well as key focus areas of wellbeing through a mental health allies programme. The Company provides an opportunity for partners to become Mental Health Allies, which involves partners receiving training from an external partner, Mental Health at Work, to equip them to support retail partners with any issues or challenges they may experience related to their mental wellbeing. This will continue into 2025 with even more support for store partners to face into the challenges they may encounter.

The Company will continue, in FY25, to focus on enhancing the skills and confidence of partners in leadership or management positions to lead their teams — whether in retail or support centre roles. For store partners, much of the training is now delivered through online training. The Company has invested in gamified learning using the Attensi app and will continue to evolve the offering and develop the platform into a more functional learning management system. Over the course of FY25 new training will be rolled out focused on Inclusion and Diversity, as well as phase 2 of the very well-received British Sign Language training for store partners.

Employee (partner) engagement

The Company continues to engage with partners through round tables and partner forums and its Partner Voice Board — akin to an employee council, designed to improve the two-way flow of information and address partner concerns in a more cohesive way, having a particular focus on partner wellbeing.

The Company is also increasing its partner engagement with regards to activity related to inclusion and diversity. It has added a further partner network, Partners for Sustainability, to its existing four partner networks: Women's Impact Network, Black Partner Network, Pride Alliance Network, and Wellbeing Blend as engagement and education channels, with supporting events in dedicated heritage months. It also has an Inclusion & Diversity Working Group, focusing on ensuring it continues to be an inclusive place to work, where everyone is welcome. Further information on the Company and its employee involvement can be found within the Section-172 statement in the Strategic Report and application of the Wates principle in the statement of corporate governance section.

Starbucks Coffee Company (UK) Limited

Directors' Report (continued) For the period ended 29 September 2024

Auditor

Deloitte LLP have expressed their willingness to continue in office as auditor and a resolution to reappoint them will be proposed at the forthcoming Annual General Meeting.

Information to auditor

Each of the persons who is a director at the date of approval of this report confirms that:

- so far as the Director is aware, there is no relevant audit information of which the Company's auditor is unaware, and
- the Director has taken all the steps that ought to have been taken as a director in order to be aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

This confirmation is given and should be interpreted in accordance with the provision of s418 of the Companies Act 2006.

This report and financial statements were approved and authorised for issue by the Board of directors on 27 March 2025.

Michael Lingham

M Lingham
Director

Starbucks Coffee Company (UK) Limited

Directors' responsibilities statement For the period ended 29 September 2024

The Directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law the Directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law, including FRS 101 "Reduced Disclosure Framework"). Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The Directors are responsible for the maintenance and integrity of the corporate and financial information included on the Company's website. Legislation in the United Kingdom governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

Starbucks Coffee Company (UK) Limited

Statement of Corporate Governance For the period ended 29 September 2024

Statement of Corporate Governance

The Board of Starbucks Coffee Company (UK) Limited (the "Company") recognises the importance of sound corporate governance and has decided to apply the Corporate Governance Code published by the Wates Corporate Governance Principles detailed out below. The Code was chosen as the most appropriate framework for the Company, having regard to its strategy as well as its size, nature and resources.

The sections below set out the ways in which the Company applies the six principles of the Code in support of the Company's medium to long-term success.

Principle 1: Purpose and leadership

Application (as set out by the Wates Principles)

An effective board develops and promotes the purpose of a company, and ensures that its values, strategy and culture align with that purpose.

Starbucks Compliance

The Company's strategy and business model are developed by the General Manager (GM) and her senior leadership team and approved by the Board. The senior leadership team, led by the GM, is responsible for implementing the strategy and managing the Company at an operational level. The strategy sets the overall priorities for the Company, which are subsequently implemented via functional business plans and, at an individual level, personal objectives.

Principle 2: Maintain the Board as a well-functioning, balanced team led by the chair

Application (as set out by the Wates Principles)

Effective board composition requires an effective chair and a balance of skills, backgrounds, experience and knowledge, with individual directors having sufficient capacity to make a valuable contribution. The size of a board should be guided by the scale and complexity of the company.

Starbucks Compliance

The Board comprises the General Manager of Starbucks Coffee Company (UK) Limited and Finance Director of Starbucks Coffee Company (UK) Limited. A board of two statutory directors is considered appropriate given the Company is part of a larger group, with oversight from EMEA and US parent, hence no formal chair.

The Directors are supported in the management and running of the business by the Company's senior leadership team.

In 2024 at the signing of the accounts the two directors were A Rayner and M Lingham, both representing Starbucks Coffee Company (UK) Limited.

Starbucks Coffee Company (UK) Limited

Statement of Corporate Governance (continued) For the period ended 29 September 2024

Principle 3: Directors responsibility

Application (as set out by the Wates Principles)

The board and individual directors should have a clear understanding of their accountability and responsibilities. The board's policies and procedures should support effective decision-making and independent challenge.

Starbucks Compliance

An informal evaluation process for Board performance has been followed to date. The Board continues to follow UK and EMEA policies and procedures which promotes the long-term sustainable growth of the business in the market.

Principle 4: Opportunity and risk

Application (as set out by the Wates Principles)

A board should promote the long-term sustainable success of the Company by identifying opportunities to create and preserve value, and establishing oversight for the identification and mitigation of risks.

Starbucks Compliance

The Company acknowledges its responsibility for reviewing the effectiveness of the systems that are in place to manage risk and to provide reasonable assurance with regard to the safeguarding of the Company's assets.

The Company has an approval system in place, with senior approval required for significant store investment, capital expenditure and other purchases. All contracts are reviewed by the legal team, with external support as required, and must be approved by the GM and Finance Director.

The Company has set up a Risk Committee created by M Lingham, focused on the identification, evaluation and mitigation of risks. The Risk Committee is chaired by the Legal Director.

Principle 5: Remuneration

Application (as set out by the Wates Principles)

A board should promote executive remuneration structures aligned to the long-term sustainable success of a company, taking into account pay and conditions elsewhere in the company.

Starbucks Compliance

Both serving directors for the Company has clear objectives and targets set based on the vision, performance and strategy of the business. With focus within all annual pay reviews and remuneration conversations across the business in-line with the long-term success and longevity of the business.

Starbucks Coffee Company (UK) Limited

Statement of Corporate Governance (continued) For the period ended 29 September 2024

Principle 6: Stakeholder relationship and management

Application (as set out by the Wates Principles)

Directors should foster effective stakeholder relationships aligned to the company's purpose. The board is responsible for overseeing meaningful engagement with stakeholders, including the workforce, and having regard to their views when taking decisions.

Starbucks Compliance

The Board is regularly updated on wider stakeholder engagement and feedback in order to stay abreast of customers, suppliers and employees' (partner) insights into the issues that matter most to them and our business.

The Company's Operations team builds strong relationships with its licensees, which are underpinned by regular dialogue.

The Company's supply chain team engage closely with key suppliers, to ensure that the Company has strong commercial relationships and to mitigate the risks of any potential supply chain impacts that could affect its business.

The Company's PRO (HR) team engages closely with partners on all levels. This occurs through regular meetings, and half a year pulse surveys, in order for partners of all levels to feedback and have their views heard.

Starbucks Coffee Company (UK) Limited

Climate-related financial disclosure For the period ended 29 September 2024

Background:

Effective for periods commencing on or after 6 April 2022, Climate-Related Financial Disclosures ('CFD') have been introduced under the Companies Act 2006 in the UK. As part of the requirement, UK companies with more than 500 employees and £500m turnover are required to make CFD. The Company meets the threshold for reporting during the year ended 29 September 2024 and has set out relevant CFD to comply with the requirement as detailed below.

Governance:

Starbucks Corporation (the 'Group'):

The Board of directors of the Group has overall responsibility for risk oversight, including how the Group manages climate-related risks. The Chief Executive Officer ('CEO') sits on the Board of directors and has general charge and supervision of the business and strategic direction of the Group. The CEO meets with the Executive Vice President of Global Coffee and Sustainability quarterly to discuss global climate-related strategies and sustainability initiatives across the Group. The Audit and Compliance Committee ('Audit Committee'), comprised of at least three non-executive directors, assists the Board of directors in fulfilling its oversight responsibilities, such as overseeing the Group's accounting and financial reporting processes, reviewing financial information that will be provided to shareholders and others, and assessing the Group's risk management practices. The Environmental, Partner, and Community Impact Board Committee ('Impact Committee'), comprised of three non-executive directors, supports the Board of directors in fulfilling its oversight responsibilities, such as reviewing and assessing the Group's climate-related risk management practices, programs and disclosures.

The Group's Risk Management Committee, co-chaired by the Group's Chief Financial Officer and Chief Legal Officer, oversees risk management processes, including prioritising enterprise risks and reviewing the effectiveness of existing risk management processes. On a monthly basis, designated risk owners discuss certain existing and emerging risks with the Group's Risk Management Committee, including climate-related risks, and a number of these risks are also discussed with the Audit Committee and Impact Committee of the Board of directors on a quarterly basis, or more frequently as appropriate.

The Global Environmental Council, comprised of senior leaders across the Group and chaired by the Chief Sustainability Officer ('CSO'), is responsible for reviewing and implementing initiatives to help achieve global climate-related goals described below and detailed in the 2024 Global Impact Report.

The Global ESG Steering Committee, comprised of cross functional leaders and chaired by the CSO, is responsible for evaluating climate-related risks and opportunities, using specialists where appropriate, and to support the Board of directors with climate-related oversight.

See further information of the Group's corporate governance in Starbucks Corporation's Proxy Statement.

EMEA region:

The Board of directors of the Starbucks EMEA Ltd retains overall oversight of climate-related matters with the support of the EMEA Leadership Team ('EMEA LT'), who meet at least annually to review and assess climate impact on the strategies of the region.

The EMEA LT, comprised of senior leaders, is responsible for identifying, assessing, and managing climate-related risks identified in the EMEA region and for supporting climate-related initiatives to help achieve global climate-related targets. Climate-related risk and mitigation activities are evaluated annually and communicated to the Group's Risk Management Committee in accordance with the existing risk management processes (described in the Governance section).

Company level:

At the Company level, the General Manager and the Finance Director (together, the 'Directors') are responsible for overseeing the climate-related risks and opportunities, and for supporting climate-related initiatives to help achieve global climate-related goals.

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Climate-related financial disclosure For the period ended 29 September 2024

The Directors are supported by the Company's Leadership Team. The Company's Leadership Team, comprised of cross functional leaders, is responsible for supporting primary decision-making for management of climate-related risks and the implementation of climate-related initiatives across the Company. The Company's progress is reported to the EMEA LT quarterly, which provides the central governance mechanism, overseeing climate-related matters' strategy, targets, and progress.

Strategy and risk management:

A climate-related risk identification workshop with the regional senior leaders was conducted in the previous financial year. A range of physical and transitional climate-related risks were identified using a risk assessment matrix which considers qualitative, financial and brand impact, where applicable, and the frequency and likelihood of risks occurring to determine an overall risk rating. These climate-related risks are maintained using a climate risk register which is annually updated, reviewed, and communicated to senior leaders. Existing and emerging climate-related matters are monitored by the EMEA LT with the support of cross-functional leaders, climate specialists and the Group Risk Management Committee.

Climate-related risk is integrated into the Company's risk management framework as a principal risk for the business and the framework evaluates the wider impact of climate-related matters across other business risk areas such as supply chain operations and legal compliance with new and emerging regulations. The process for identifying, assessing, and managing climate-related risk is the same as for other business-related risk and is reviewed at least annually by management and the Board.

Time horizons:

We typically consider our business risks and financial forecasting of a period up to three years which includes how climate-related matters may contribute to other key business risks within that timeframe. However, as climate-related matters often manifest over the longer term, extended time horizons, defined below, are used to assess the potential impact of climate-related matters on the business distinctively.

Time horizon	Rationale for the selection of the time horizon used to assess climate-related impacts
Short-term (Now – 2030)	Aligned to Starbucks 2030 goals as well as the UK and European Commission's interim environmental, energy and climate targets which drive changes in the regulatory landscape. To meet our 2030 goals and comply with new and updated ESG regulations, changes to the Company's internal policies, processes and strategies are required within this timeframe.
Medium-term (2031 – 2040)	A mid-point to assess progress between the short and long-term time horizons.
Long-term (2041 – 2050)	Aligned to the International Energy Agency ('IEA') climate scenarios, which are recommended by the Task Force on Climate-Related Financial Disclosures ('TCFD'), and consistent with national and industry targets.

Scenario pathways:

Climate-related risks have been considered over three Representative Concentration Pathways ('RCPs'):

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Net Zero (RCP 2.6)¹	Limiting global temperature to 1.5°C over pre-industrial levels by 2100 through stringent and immediately introduced climate policies and innovation, reaching net zero CO2 emissions by 2050.
Delayed transition (RCP 4.5)²	Follows a path in which social, economic, and technological trends do not shift noticeably from historical pattern and the world takes action to limit emissions growth. Emissions are not reduced in the short term and does not achieve goals set out in 'The Paris Agreement', resulting in > 2°C warming by 2050 and between 2 °C to 3 °C, by 2100 with a mean sea level rise 35% higher than that of RCP 2.6.
Current policies (RCP 8.5)³	Emissions continue to rise throughout the 21st century. It assumes no changes to policies. The world does not cut emissions and climate change accelerates causing 2.5°C of warming by 2050 and >4°C by 2100 bringing irreversible changes.

The impact of climate-related risks was modelled across all three scenarios (or pathways) to explore how different sets of assumptions and scenarios can result in different outcomes.

Last year, we reported the worst-case scenario outcome of each climate-related risk from the qualitative assessment (i.e. RCP 8.5 for physical risks and RCP 2.6 for the transition risks). This year, the outcomes are disclosed based on our quantitative scenario analysis under scenario RCP 4.5 (physical risks) and RCP 2.6 (transition risks) as the full span of the most possible outcomes. This is due to the trend of global emissions since the development of these RCPs, current policies and pledges by countries to address global warming, which suggest the RCP 8.5 scenario is highly unlikely.

Inputs to the scenario analysis:

The underlying data and assumptions used in the scenario analysis encompass internal operational and financial data, and external data such as exchange rates, IEA World Energy Model's carbon pricing and projected GDP. These assumptions and models are reviewed annually, and amendments are made where appropriate.

In the last year, we engaged a third-party expert to assist us in performing the quantitative scenario analysis for climate-related risks. This year we have identified no significant changes in our businesses and external inputs that would require an update to the existing scenario analysis. Scenario analysis should be renewed where there is a significant change in assumptions or at least every three years with up to date and relevant information.

Scenario analysis outcomes and business resilience:

The outcomes of the scenario analysis set out in the table below are presented at gross impact, before any mitigating or contingent actions, on revenue and cost. The same applies to the qualitative assessment used to support the identification and materiality assessment of risks.

Physical risks - Acute: The financial impact from extreme weather events is expected to be low across all time horizons and in each different scenario given our top distribution centres, roasting plants and key suppliers are not located in flood prone areas, or areas that are expected to be significantly impacted by storms, blizzards, and winds. To date, we have not experienced any material change to the value of assets and disruption to key supplies due to such events. Our stores are geographically widespread; reducing the risk of significant operational disruption due to an adverse weather event. No significant climate-related event triggers for impairments have been identified during the year.

Physical risks - Chronic: The impact of global warming on coffee yields, its pricing and the suitability of coffee growing lands, especially in the medium to long term, poses a material risk to our global business. It is the Group's top priority to ensure a sustainable future for the coffee we use. To understand the risk associated to each country from which we source from, three indicators were assessed in our analysis: change in suitable area, deforestation risk and vulnerability index

¹ This scenario involves more transition risks early on but manages to limit physical risks to a minimum.

² RCP 4.5 is described by the Intergovernmental Panel on Climate Change (IPCC) as a moderate scenario in which emissions peak around 2040 and then decline.

³ This scenario involves limited transition risks but results in irreversible and globally disrupting physical risks.

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Climate-related financial disclosure For the period ended 29 September 2024

considering the impact to human population and the capacity of the country to adapt. This is an important area for which the Group is continuously gaining further understanding and investing in as part of its risk management. See the further mitigation actions below:

Transition risks: Transition risks are those arising from the changes in technology, markets, policy, regulation, and consumer sentiment which will result from the transition to low carbon world.

Scope 1, 2 and 3 emissions were accounted for in modelling carbon-related cost. However, the anticipated carbon-related costs will likely be less given only an insignificant portion of our purchases are in scope for carbon-related taxes and carbon pricing mechanisms.

New and emerging climate-related regulations impact the business strategy and operation, particularly in scenario RCP 2.6, where there are mitigating actions to limit global warming in the short term.

The Company's success depends substantially on the value of the brand and failure to preserve brand reputation could have a negative impact on our financial results. Management views the ongoing relevance of the brand and competitiveness may depend on making sufficient progress toward the Group's climate-related goals irrespective of the quantitative outcomes of the model. Moreover, it is important to note that consumer behaviour is inherently uncertain and challenging to model.

See further information on key risk mitigation activities below and 2024 Global Impact Report.

Resilience:

Whilst the climate-related risks identified may individually or in aggregate have a high impact to the business operations, strategy, and financial performance of the Group and the Company, the Board of directors of the Company consider the risks are to be managed or mitigated through actions combined with strategic initiatives led by the Global Environmental Council to support the global 2030 goals. As a result, the Board of directors of the Company is satisfied with the Company's resilience to climate-related risks under all scenarios.

Limitations to the models:

Scenarios are hypothetical pathways which are used to explore a range of plausible outcomes – they are not forecasts or predictions. Understanding and quantifying the financial effects of climate changes is inherently challenging owing to the high degrees of uncertainty and significant use of judgements and estimates. This is particularly true over the longer time horizon with different pathways, timing of interventions in different markets, their implications for economies, and how the industry and consumers would respond. We expect climate models and scenarios to be refined over time as knowledge in this area grows.

Climate risks and opportunities:

Climate-related risks have been modelled to assess for the impact on the Company's financial performance where applicable and feasible. The results of the climate-related scenarios and key mitigation activities are detailed below.

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Climate-related financial disclosure For the period ended 29 September 2024

Risk description and potential impacts	Result ⁴	Key mitigation activities
Physical Risks – RCP 4.5:		
Acute - increased frequency and severity of floods, storms, blizzards, and winds impacting business operations and efficiency: • disruption to supply chain causing inability to fulfil the demand; and • write-offs/early retirement of existing assets, and cost to replace for new assets.	2030: Low 2040: Medium 2050: Medium	• The Group and key external suppliers have developed disaster recovery programs to ensure minimal disruption in case of severe weather events; • Exposure to price fluctuation risk for the key commodities is managed by the Group using a combination of pricing features embedded within the supply contracts; and • Mitigating the risks of climate change on coffee supplies is managed at Group level using a combination of strategic sourcing initiatives and upstream collaborations such as operating Farmer Support Centres worldwide, where agronomists and quality experts work alongside coffee farmers to help increase the productivity, quality, and profitability of coffee on their farms and improve their livelihoods. See further information in the 2024 Global Impact Report.
Chronic - increased droughts as a result of climate change, reducing coffee crop yield, resource availability and productivity: • reduced margin due to increased cost of raw materials and loss of productivity; and • decreased availability of supplies causing inability to fulfil the demand.	2030: Medium 2040: Medium 2050: High	
Chronic - change in global average temperature in tropical areas, changing climate patterns and seasonality heightening risks of pests, diseases and fungus and reducing the land suitability for coffee growing for certain areas: • increase in the cost of raw materials; and • reduced revenue due to inability to fulfil the demand.⁵	2030: Medium 2040: Medium 2050: High	

⁴ Risk ratings (High, Medium, and Low) are corresponding to those used in the enterprise risk management framework. The outcomes presented at gross impact, before any mitigating or contingent actions, on revenue and cost.

⁵ Qualitative assessment

Starbucks Coffee Company (UK) Limited

Climate-related financial disclosure For the period ended 29 September 2024

Transition Risks – RCP 2.6:		
Policy and Legal - the growth of new and emerging ESG regulations results in increased costs: - increased cost of goods sold due to more stringent regulations; and - increased operating and capital expenditures on ESG compliance activities to avoid non-compliance fines and legal costs.	2030: Medium 2040: High 2050: High	- Monitor and assess regulatory updates and developments; - Deploy cross-functional multidisciplinary collaboration to establish and execute the compliance roadmap; - Continue to maintain and simplify our supply chain to reduce the inherent risk; - Conduct annualised licensee's carbon footprint assessment to understand and monitor the hot spots of licensed operation's footprint; engage with licensees on the results, climate-related targets and action plans; - Invest in innovative packaging solutions, and incentivise the use of reusable cups for in-store purchases; - Minimise waste through recycling, composting, and inventory management;
Policy and Legal - increased cost due to higher carbon prices with the evolution of carbon taxes and carbon pricing mechanisms ('CBAM'): - increased direct costs due to carbon taxes and CBAMs; and - increased cost of goods sold due to indirect cost passed on from suppliers.	2030: Medium 2040: Medium 2050: High	- Offer free dairy alternative options for our beverages in the UK, Japan, U.S. and Canada company-owned and operated stores, and licensed markets in France, Belgium, the Netherlands, and Luxembourg; - Expand on plant-based menu; - Roll out 'greener store' design across the region; and
Market/Reputational - increased customer concern or negative perception on the ability of Starbucks to limit any negative impact on the environment: - reduced revenue/demand due to reputation impacts; and - increased cost to protect brand reputation and trust.	2030: Low 2040: High 2050: High	Conduct product life cycle assessment of key products, and engage with key suppliers to reduce the environmental impacts of purchased food and ingredients.
Reputational – licensed-operated businesses not aligning with Starbucks ambitions: - reduced revenue/demand due to reputation impacts; and - increased cost to protect brand reputation and trust.	2030: Medium 2040: High 2050: High	See 2024 Global Impact Report for further information of the Group's targets and progress in 2024.

We also recognise that climate change and the transition to a low-carbon world also presents opportunities to the business. Climate-related opportunities identified and embedded into the Group's strategy include:

- Use of low emissions energy sources and deploy energy efficient technology** - investing in energy-efficient technologies and transitioning to lower emission energy sources within our operation could reduce our operating expenses in the long run; and protect us against both energy price volatility and grid instability caused by issues such as extreme weather, geopolitical matters, and carbon-related taxes.
- Shift in consumer preference** - consumers demand for low-emission lifestyles could result in increased sales of low environmental impact products such as reusable mugs, non-dairy milk, and non-meat food items.
- Development of climate adaptation** - improving our climate change adaption and resilience creates the opportunity to enhance the reliability of our supply chain, in particularly the

Starbucks Coffee Company (UK) Limited

Climate-related financial disclosure For the period ended 29 September 2024

sourcing of key commodities, which, in turn, can promote increased revenue from improved yields.

Metrics and targets:

The Company does not set its entity specific climate-related targets and instead works against the wider global targets set by the Group. The global 2030 targets and associated key performance indicators ('KPIs') are consolidated and reported on a global basis only as detailed below.

The Group's targets and KPIs	Methodology and initiatives in EMEA region
Target: 50% absolute reduction in scope 1, 2 and 3 greenhouse gases (GHG) emissions representing all of the Group's direct operations and value chain by 2030 (2019 baseline). KPI: % reduction of total scope 1, scope 2 (market-based) and scope 3 emissions. Movement: +2% (FY23: +2%)⁶	GHG emissions are recorded in accordance with the GHG protocol and Starbucks environmental data policy. Primary data such as meter reading, utility bills, and supplier's data is used where available. Proxies are used to fill in any gaps, especially in Scope 3 emissions which are not operationally controlled by Starbucks. Further progress has been made in improving the coverage and accuracy of the Company's Scope 3 emissions data through increased engagement with licensees and suppliers. A product life cycle assessment has been completed for the best-seller range in the UK. Understanding the source of emissions is crucial to help prioritise areas of focus, engagement with suppliers and target setting.
Target: 50% of water withdrawals will be conserved or replenished across Starbucks direct operations, stores, packaging and agricultural supply chain by 2030 (2019 baseline). KPI: % reduction of total water withdrawal. Movement: -3% (FY23: -2%)⁶	EMEA's methodology is aligned to the Enterprise Standard Operating Procedure (ESOP). Primary data such as meter reading, and water bills is used where available. Proxies are used to fill in any gaps in primary data, especially in licensed operations. Life cycle assessments are conducted to better understand dependencies on key ingredients and commodities to minimize adverse water impact across the supply chain, whilst also considering product innovation.
Target: 50% reduction in waste sent to landfill by 2030 from stores and direct operations by 2030 (2019 baseline). KPI: % reduction of waste sent to landfill. Movement: +6% (FY23: +8%)⁶	Categories include general/liquid/organic waste and recyclables, with a strong focus on disposal methods. The EMEA baseline considers waste footprints across operational markets, applying conversion factors to standardize units in accordance with best practices. While total volumes of waste generated are mainly driven by the volume of sales, the amount of waste going to landfill is heavily dependent on the country's waste infrastructure. The sustainability team continues to work closely with the licensees to improve the accuracy of the data and infrastructure capability.

Whilst the Group's total emissions and waste have increased against the base year, total emissions per \$ of revenue and total waste sent to landfill per \$ of revenue have reduced against the base year. Despite the challenges the Group have faced in reducing footprint at scale as the business grows, the Group remains committed to action and continuous improvement to support partners, farmers and communities.

See further information of our global targets, achievements, and upcoming projects in the 2024 Global Impact Report.

⁶ In 2024, the Group has updated the methodologies used to calculate its environmental footprint metrics as a result of improved data quality, changes to emissions and water factors, and other methodological changes. Methodological updates and data improvements reflected in 2024 metrics were applied retrospectively to the 2019 (baseline) and 2023 results. Post restatement, 2023's emissions and waste's % increases against 2019 are lower than previously reported whilst 2023's water withdrawals' % reduction against 2019 is lower than previously reported.

Starbucks Coffee Company (UK) Limited

Independent auditor's report to the members of Starbucks Coffee Company (UK) Limited

Report on the audit of the financial statements

Opinion

In our opinion the financial statements of Starbucks Coffee Company (UK) Limited (the 'company'):

- give a true and fair view of the state of the company's affairs as at 29 September 2024 and of its loss for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, including Financial Reporting Standard 101 "Reduced Disclosure Framework";
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements which comprise:

- the profit and loss account;
- the balance sheet;
- the statement of changes in equity; and
- the related notes 1 to 26.

The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 101 "Reduced Disclosure Framework".

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the auditor's responsibilities for the audit of the financial statements section of our report.

We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the Financial Reporting Council's (the 'FRC's') Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Our evaluation of the directors' assessment of the company's ability to continue to adopt the going concern basis of accounting included an evaluation of management's assessment of the company's ability to continue as a going concern. We reviewed the entity's forecasts used in their assessment in light of recent results and we considered the willingness and ability of the parent company to provide support if required, including engaging the parent company auditor to confirm the results of their assessment of the parent group's ability to continue as a going concern.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Starbucks Coffee Company (UK) Limited

Independent auditor's report to the members of Starbucks Coffee Company (UK) Limited (continued)

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the FRC's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Extent to which the audit was considered capable of detecting irregularities, including fraud

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below.

We considered the nature of the company's industry and its control environment, and reviewed the company's documentation of their policies and procedures relating to fraud and compliance with laws and regulations. We also enquired of management and the directors about their own identification and assessment of the risks of irregularities, including those that are specific to the company's business sector.

We obtained an understanding of the legal and regulatory frameworks that the company operates in, and identified the key laws and regulations that:

- had a direct effect on the determination of material amounts and disclosures in the financial statements. These included the UK Companies Act and tax legislation; and
- do not have a direct effect on the financial statements but compliance with which may be fundamental to the company's ability to operate or to avoid a material penalty.

We discussed among the audit engagement team including relevant internal specialists regarding the opportunities and incentives that may exist within the organisation for fraud and how and where fraud might occur in the financial statements.

Starbucks Coffee Company (UK) Limited

Independent auditor's report to the members of Starbucks Coffee Company (UK) Limited (continued)

As a result of performing the above, we identified the greatest potential for fraud in the following area, and our procedures performed to address it are described below:

Management's assumptions and judgements in connection with the potential impairment of assets in operated stores. Our audit procedures include making enquiries of management, testing the accuracy of the impairment model used, reviewing and challenging key assumptions, verifying data used, evaluating supporting and contradictory evidence and performing sensitivity analyses.

In common with all audits under ISAs (UK), we are also required to perform specific procedures to respond to the risk of management override. In addressing the risk of fraud through management override of controls, we tested the appropriateness of journal entries and other adjustments; assessed whether the judgements made in making accounting estimates are indicative of a potential bias; and evaluated the business rationale of any significant transactions that are unusual or outside the normal course of business.

In addition to the above, our procedures to respond to the risks identified included the following:

- reviewing financial statement disclosures by testing to supporting documentation to assess compliance with provisions of relevant laws and regulations described as having a direct effect on the financial statements;
- performing analytical procedures to identify any unusual or unexpected relationships that may indicate risks of material misstatement due to fraud;
- enquiring of management and in-house legal counsel concerning actual and potential litigation and claims, and instances of non-compliance with laws and regulations; and
- reading minutes of meetings of those charged with governance and reviewing correspondence with relevant tax authorities.

Report on other legal and regulatory requirements

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and the directors' report for the financial period for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified any material misstatements in the strategic report or the directors' report.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report in respect of the following matters if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

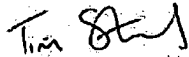
We have nothing to report in respect of these matters.

Starbucks Coffee Company (UK) Limited

Independent auditor's report to the members of Starbucks Coffee Company (UK) Limited (continued)

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.



Timothy Steel ACA (Senior Statutory Auditor)
For and on behalf of Deloitte LLP
Statutory Auditor
London, United Kingdom
27 March 2025

Starbucks Coffee Company (UK) Limited

Profit and loss account For the period ended 29 September 2024

		29 September 2024	1 October 2023
	Note	£000	£000
Turnover	4	525,618	547,672
Cost of sales		(390,667)	(398,707)
Gross profit		134,951	148,965
Administrative expenses		(162,417)	(127,254)
Operating (loss) / profit	5	(27,466)	21,711
Loss on disposal of tangible fixed assets		(1,403)	(2,215)
Interest receivable and similar income	9	234	108
Interest payable and similar charges	10	(6,599)	(2,734)
(Loss) / profit before taxation		(35,234)	16,870
Taxation charge on (loss) / profit	11	(977)	(7,154)
(Loss) / profit after taxation		(36,211)	9,716

The Profit and loss account above, together with the related notes, relating to the period ended 29 September 2024 reflects the trading for a 52-week period from 2 October 2023. The comparative data is for the 52-week period ended on 1 October 2023.

There was no other comprehensive income for 2024 (FY23: £Nil).

The notes on pages 33 to 54 form part of these financial statements. All above activities arise from continuing operations.

Starbucks Coffee Company (UK) Limited

Registered number: 02959325

Balance sheet As at 29 September 2024

	Note	29 September 2024 £000	1 October 2023 £000
Fixed assets			
Tangible assets	12	81,327	80,480
Right-of-use assets	13	153,660	146,698
Investment in sublease	18	10,558	12,890
		<u>245,545</u>	<u>240,068</u>
Current assets			
Stocks	14	1,981	1,678
Debtors:			
- Amounts falling due within one year	15	41,084	39,817
- Amounts falling due after more than one year	15	37	559
Cash at bank and in hand		19,760	24,292
		<u>62,862</u>	<u>66,346</u>
Creditors - Amounts falling due within one year	16	(113,349)	(94,902)
Current lease liability	18	(31,027)	(27,527)
Net current liabilities		<u>(81,514)</u>	<u>(56,083)</u>
Total assets less current liabilities		<u>164,031</u>	<u>183,985</u>
Creditors - Amounts falling due after more than one year	17	(85)	(38)
Non current lease liability	18	(159,037)	(145,642)
Net assets		<u><u>4,909</u></u>	<u><u>38,305</u></u>
Capital and reserves			
Called up share capital	20	317	317
Share premium account	21	42,910	42,910
Profit and loss account	21	(38,318)	(4,922)
Shareholder's funds		<u><u>4,909</u></u>	<u><u>38,305</u></u>

The financial statements for Starbucks Coffee Company (UK) Limited (registration number 02959325) were approved by the Board of directors on 27 March 2025 and were signed on its behalf by:

Michael Lingham
M Lingham
Director

The notes on pages 33 to 54 form part of these financial statements.

Starbucks Coffee Company (UK) Limited

Statement of changes in equity For the period ended 29 September 2024

	Notes	Called up share capital £000	Share premium account £000	Profit and loss account £000	Shareholder's funds £000
At 2 October 2022		317	42,910	(17,293)	25,934
Comprehensive income for the period					
Profit for the period		—	—	9,716	9,716
Total comprehensive income for the period		—	—	9,716	9,716
Capital contribution for equity settled share based payments	5/23	—	—	2,655	2,655
At 1 October 2023		317	42,910	(4,922)	38,305
Comprehensive income for the period					
(Loss) for the period		—	—	(36,211)	(36,211)
Total comprehensive expense for the period		—	—	(36,211)	(36,211)
Capital contribution for equity-settled share-based payments	5/23	—	—	2,815	2,815
At 29 September 2024		317	42,910	(38,318)	4,909

The notes on pages 33 to 54 form part of these financial statements.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 29 September 2024

1. Authorisation of financial statements and statement of compliance with FRS 101

The financial statements of Starbucks Coffee Company (UK) Limited (the "Company"), for the period ended 29 September 2024 were authorised for issue by the Board of directors on 27 March 2025 and the Balance sheet was signed on the Board's behalf by M Lingham.

The company is a private company, limited by shares, incorporated in the United Kingdom under Companies Act 2006 and registered in England and Wales. Details of registered address can be found on the contents page, further details around principal activities can be found within the strategic report.

The Company meets the definition of a qualifying entity under FRS 100 'Application of Financial Reporting Requirements' issued by the FRC. Accordingly, these financial statements were prepared in accordance with Financial Reporting Standard 101 'Reduced Disclosure Framework'.

These financial statements have been prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101"). Any amendments to FRS 101, effective immediately, have been applied.

The Company's financial statements are presented in Pound Sterling and all values are rounded to the nearest thousand pound (£) except when otherwise indicated.

The results of Starbucks Coffee Company (UK) Limited are included in the consolidated financial statements of Starbucks Corporation, which are available from the Investor Relations section of the Starbucks website at investor.starbucks.com.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 29 September 2024

2. Summary of significant accounting policies and key accounting estimates

2.1 Basis of preparation

The financial statements have been prepared under the historical cost convention and in accordance with applicable United Kingdom law and accounting standards.

The Company has adopted FRS 101 for all periods presented. The accounting policies which follow set out those policies which apply in preparing the financial statements for the period ended 29 September 2024.

As a qualifying entity the Company has taken advantage of the following disclosure exemptions under FRS 101:

- the requirements of IFRS 7 Financial Instruments: Disclosures;
- the requirements of paragraphs 91-99 of IFRS 13 Fair Value Measurement;
- the requirement in paragraph 38 of IAS 1 'Presentation of Financial Statements' to present comparative information in respect of:
 - paragraph 79(a)(iv) of IAS 1;
 - paragraph 73(e) of IAS 16 Property, Plant and Equipment; and
 - paragraph 118(e) of IAS 38 Intangible Assets;
- the requirements of paragraphs 10(d), 10(f), 39(c) and 134-136 of IAS 1 Presentation of Financial Statements;
- the requirements of IAS 7 Statement of Cash Flows;
- the requirements of paragraphs 30 and 31 of IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors, relating to standards that are new and not yet effective;
- the requirements of paragraph 17 and 18A of IAS 24 Related Party Disclosures;
- the requirements in IAS 24 Related Party Disclosures to disclose related party transactions entered into between two or more members of a group, provided that any subsidiary which is a party to the transaction is wholly owned by such a member; and
- the requirements of paragraphs 45(b) and 46 to 52 of IFRS 2 Share-based Payments.

Where relevant, equivalent disclosures have been given in the group consolidated accounts of Starbucks Corporation.

2.2 Going concern

The Directors have prepared forward looking cash flow projections as part of their going concern review which indicate that the Company will have sufficient resources to meet its liabilities as they fall due for at least the next 12 months from the signing of the financial statements months.

On 1 January 2024 the Company entered into a revolving credit agreement with the ultimate parent company for £40,000,000 (FY23: £Nil) for 12 months to 31 December 2024. The interest rate due on the facility is fixed at 5.47% FY23: Nil).

On 9 December 2024 the Company received a capital injection of £30,000,000 (FY23: £nil) from the ultimate parent company. On this date the company also paid down £20,000,000 of the Intercompany revolving credit agreement (FY23: £nil).

At 31 December 2024 £20,000,000 remained outstanding on the revolving credit agreement and the agreement was extended to 31 December 2025 with a fixed interest rate of 5.19%.

Furthermore, the Company has received a commitment of financial support from Starbucks Corporation for at least the next 12 months from the date of the signed accounts. Based on these matters, and having made enquiries of the ultimate parent, notwithstanding the current uncertain economic conditions, the directors have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 29 September 2024

Accordingly, they continue to adopt the going concern basis in preparing the financial statements.

2.3 Critical accounting judgements and key areas of estimation uncertainty

The preparation of financial statements in compliance with FRS 101 requires the use of certain critical accounting estimates. It also requires the Company's directors to exercise judgement in applying the Company's accounting policies. The areas where significant judgements and estimates have been made in preparing the financial statements and their effect are disclosed in note 3.

2.4 New standards, amendments and IFRIC interpretations

There are no new significant standards, interpretations and amendments impacting the Company that were adopted in the annual financial statements for the period ended 29 September 2024.

2.5 Significant accounting policies

a) Foreign currency translation

The Company's financial statements are presented in Pounds Sterling, which is also the Company's functional currency.

Transactions in foreign currencies are initially recorded in the entity's functional currency by applying the spot exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency rate of exchange ruling at the Balance sheet date.

All differences are taken to profit or loss. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

b) Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. Revenue is measured at the fair value of the consideration received, excluding discounts, rebates, value added tax and other sales taxes. For Starbucks UK this is predominantly at the point of sale of coffee or other food items to the customer for the consideration received.

Royalty and license income

Revenue earned from the use of Company's license is recognised on an accrual basis in accordance with the substance of the relevant agreements.

Interest income

Revenue is recognised as interest accrues using the effective interest method. The effective interest rate is the rate that exactly discounts estimated future cash receipts through the expected life of the financial instrument to its net carrying amount.

Stored value cards

For stored value cards activated or reloaded or when gift certificates are purchased at point-of-sale, an entry for deferred revenue (liability) is recorded. Revenue recognition occurs when Starbucks Cards or gift certificates are presented for redemption (as payment tender for product purchases). Estimated breakage (amounts left unspent on cards) is recognised proportionately in revenue as redemptions occur. The estimated breakage rates and redemption patterns are updated at least annually based on actual results.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 29 September 2024

c) Income taxes

The income taxes are calculated in accordance with tax requirements in the UK.

Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities, based on tax rates and laws that are enacted or substantively enacted by the Balance sheet date.

Deferred income tax is recognised on all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements, with the following exceptions:

- deferred income tax assets are recognised only to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, carried forward tax credits or tax losses can be utilised; and
- in respect of taxable temporary differences associated with investments in subsidiaries, associates and joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred income tax assets and liabilities are measured on an undiscounted basis at the tax rates that are expected to apply when the related asset is realised or liability is settled, based on tax rates and laws enacted or substantively enacted at the Balance sheet date.

The carrying amount of deferred income tax assets is reviewed at each Balance sheet date. Deferred income tax assets and liabilities are offset, only if a legally enforceable right exists to offset current tax assets against current tax liabilities, the deferred income taxes relate to the same taxation authority and that authority permits the Company to make a single net payment.

Income tax is charged or credited to other comprehensive income if it relates to items that are charged or credited to other comprehensive income. Similarly, income tax is charged or credited directly to equity if it relates to items that are credited or charged directly to equity. Otherwise, income tax is recognised in profit or loss.

d) IFRS 16

A lease exists if the Company is entitled to use, for a certain periods of time, an identifiable asset over which the Company has gained control, against payment. Leases mainly relate to retail and office space.

At the beginning of the lease term ("provision date"), lease right-of-use assets are valued at acquisition costs, which in particular arise from the corresponding lease liabilities and lease prepayments, taking into account leasing incentives received. Depreciation is calculated on a straight-line basis.

Lease liabilities are recognized at the present value of the lease payment that have not yet been made and reported under financial liabilities. Discounting is always calculated using term-specific incremental borrowing rates, as the Company is unable to determine the interest rates underlying the leases on a regular basis. The lease liabilities are updated in accordance with the effective interest method. The Company reports the corresponding interest expenses in the financial result.

As a sub-lessor the Company classifies its leases as finance leases. A lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental to ownership of the underlying asset and classified as an operating lease if it does not. Under a finance lease, the sub-lessor recognises the underlying asset (investment in sublease) equivalent to the amount of future rental payments to be received along with the corresponding lease liability equal to

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 29 September 2024

the amounts of future rental payments expected to be paid to the head lessor, discounted using the term-specific incremental borrowing rates.

Onerous leases

The Company operates numerous leases, predominately property leases.

As part of the IFRS 16 transition, the Company elected to apply the practical expedient to take all onerous lease provisions against the new Right-of-use asset, to show the carrying amount of the right-of-use asset as if an impairment test had been conducted at the date of transition.

e) Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Company expects some or all of a provision to be reimbursed, such as under an insurance contract, the reimbursement is recognised as a separate asset, but only when the reimbursement is virtually certain. The expense relating to a provision is presented in profit or loss net of any reimbursement.

f) Share-based payments

Equity-settled share-based payments to employees and others providing similar services are measured at the fair value of the equity instruments at the grant date. The fair value excludes the effect of non-market-based vesting conditions.

The fair value determined at the grant date of the equity-settled share-based payments is expensed on a straight-line basis over the vesting period, based on the Group's estimate of the number of equity instruments that will eventually vest. At each reporting date, the Group revises its estimate of the number of equity instruments expected to vest as a result of the effect of non-market-based vesting conditions. The impact of the revision of the original estimates, if any, is recognised in profit or loss such that the cumulative expense reflects the revised estimate, with a corresponding adjustment to reserves.

g) Financial assets

Initial recognition and measurement

The Company initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs directly attributable to the acquisition or issue of the financial asset. Debt financial instruments are subsequently measured at amortised cost or fair value through profit or loss. The classification is based on two criteria: the objective of the Company's business model for managing the assets; and whether the instruments' contractual cash flows represent 'solely payments of principal and interest' on the principal amount outstanding (the 'SPPI criterion').

The classification and measurement of the Company's financial assets is as follows:

Debt instruments at amortised cost

These assets arise principally from the provision of goods and services to customers (e.g. trade receivables), but also incorporate other types of financial assets where the objective is to hold these assets in order to collect contractual cash flows and the contractual cash flows are solely payments of principal and interest. They are initially recognised at fair value plus transaction costs that are directly attributable to their acquisition or issue, and are subsequently carried at amortised cost using the effective interest rate method, less provision for impairment.

Impairment provisions for current and non-current trade receivables are recognised based on the simplified approach within IFRS 9 using a provision matrix in the determination of the lifetime expected credit losses. During this process the probability of the non-payment of the trade receivables is assessed. This probability is then multiplied by the amount of the

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 29 September 2024

expected loss arising from default to determine the lifetime expected credit loss for the trade receivables. For trade receivables, which are reported net, such provisions are recorded in a separate provision account with the loss being recognised within cost of sales in the consolidated statement of comprehensive income. On confirmation that the trade receivable will not be collectable, the gross carrying value of the asset is written off against the associated provision.

Impairment provisions for receivables from related parties and loans to related parties are recognised based on a forward-looking expected credit loss model. The methodology used to determine the amount of the provision is based on whether there has been a significant increase in credit risk since initial recognition of the financial asset. For those where the credit risk has not increased significantly since initial recognition of the financial asset, twelve month expected credit losses along with gross interest income are recognised. For those for which credit risk has increased significantly, lifetime expected credit losses along with the gross interest income are recognised. For those that are determined to be credit impaired, lifetime expected credit losses along with interest income on a net basis are recognised.

h) Financial liabilities

The company's financial liabilities are measured subsequently at amortised cost using the effective interest method.

Interest bearing loans and borrowings

Obligations for loans and borrowings are recognised when the Company becomes party to the related contracts and are measured initially at the fair value of consideration received less directly attributable transaction costs.

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the effective interest method.

Gains and losses arising on the repurchase, settlement or otherwise cancellation of liabilities are recognised respectively in finance revenue and finance cost.

Trade Creditors

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade payables are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

Financial liabilities are derecognised when the liability is extinguished, that is when the contractual obligation is discharged, cancelled or expires.

i) Fair values

The fair value of financial instruments that are traded in active markets at the reporting date is determined by reference to quoted market prices or dealer price quotations (bid price for long positions and ask price for short positions), without any deduction for transaction costs.

For financial instruments not traded in an active market, the fair value is determined using appropriate valuation techniques. Such techniques may include using recent arm's length market transactions; reference to the current fair value of another instrument that is substantially the same; discounted cash flow analysis or other valuation models.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 29 September 2024

j) Tangible fixed assets

Tangible fixed assets are stated at cost less accumulated depreciation and any provision for impairment. Depreciation is provided on all tangible fixed assets to write off their cost, less estimated residual value, on a straight-line basis over their estimated useful lives as follows:

Short leasehold property	- Length of the lease
Plant and machinery	- 2-7 years
Fixtures and fittings	- 2-10 years
Asset retirement obligation	- Length of the lease

Assets in the course of construction are stated at cost and are not depreciated as they are not in use at the period end.

Impairment of tangible fixed assets and right-of-use assets

At each balance sheet date, the Company reviews the carrying amounts of its tangible and right-of-use assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated to determine the extent of the impairment loss (if any). Where the asset does not generate cash flows that are independent from other assets, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss.

k) Stocks

Stocks are stated at the lower of their cost and net realisable value. Stock is valued using the weighted average cost method.

l) Cash

Cash and short-term deposits in the Balance sheet comprise cash at banks and in hand and short-term deposits with a maturity of three months or less.

m) Operating profit

Operating profit is stated before investment income and finance costs.

n) Retirement benefit costs

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due. Payments made to state-managed retirement benefits schemes are dealt with as payments to defined contribution schemes where the Company's obligations under the scheme are equivalent to those arising in a defined contribution retirement benefit scheme.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 29 September 2024

3. Critical accounting judgements and key sources of estimation uncertainty

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the amounts reported for assets and liabilities as at the balance sheet date and the amounts reported for revenues and expenses during the period.

There are no critical accounting judgements.

The following are the key areas of estimation uncertainty:

Impairment of tangible fixed assets and right-of-use assets

The calculations required to determine the value in use of Company operated stores, require estimations around key assumptions, including short-term and long-term growth rates. These are key estimates which create uncertainty given the long-term forecast calculations required.

During the current period, the Company assessed the assets using a pre-tax discount rate of 10.50% (FY23: 10.75%), a range of short-term growth rates tailored to the strategy for each asset, and a 4% long-term growth rate. The main assumption underlying these assessments is a return to growth and expected growth levels over the next few years. The most significant uncertainty relates to both short-term and long-term growth rates, as well as the inflationary impacts stemming from the current macroeconomic environment. Sensitivity to changes in these assumptions is disclosed in note 12.

Taxation

Management estimate is required to determine the amount of deferred tax assets that can be recognised, based upon management's policy on claiming capital allowances. Further details are contained in note 19.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 29 September 2024

4. Turnover

	Period ended 29 September 2024	Period ended 1 October 2023
	£000	£000
Company operated stores	321,405	336,688
Licensing & Franchising	203,381	207,848
Store value card breakage	832	3,136
Total Revenue	<u>525,618</u>	<u>547,672</u>

Turnover from continuing operations represents the invoiced amount of goods and services supplied in the period net of VAT and discounts.

All turnover derives from the Company's principal activities in the UK.

Company operated retail store revenues are recognised when payment is tendered at the point of sale. Licensing and franchising revenue consists primarily of royalties and product sales to the licensing and franchising operations and other fees earned. Sales of coffee, tea and related products are generally recognised upon shipment to customers, depending on contract terms.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 29 September 2024

5. Operating (loss) / profit

The loss for the period has been arrived at after charging/(crediting):

	Period ended 29 September 2024	Period ended 1 October 2023
	£000	£000
Fees payable to the Company's auditor (see note 6)	249	194
Variable leases land and buildings rent	6,684	6,953
Royalties and license fees	40,368	40,441
Cost of inventories	218,401	225,655
Expected credit loss expense/(reversal)	214	(1,072)
Foreign exchange (gain)	(644)	(361)
Share based payments (see note 23)	2,815	2,655
Depreciation of tangible fixed assets	14,898	13,301
Depreciation of right-of-use asset	25,347	26,089
Impairment of tangible fixed assets and right-of-use assets	28,385	2,914
Staff costs (see note 7)	118,633	114,419

The net impairment of £28.4M (FY23: net impairment of £2.9M) was measured by reference to the value in use of the assets over their useful life (refer to note 12 and 13).

6. Auditor remuneration

Fees payable to Deloitte LLP for the audit of the Company's annual accounts were £249,145 (including £36,300 in respect of FY23) (FY23: £194,100). There were no non-audit services.

7. Staff costs

Staff costs were as follows:

	Period ended 29 September 2024	Period ended 1 October 2023
	£000	£000
Staff costs, including directors		
Wages and salaries	107,434	105,305
Social security costs	9,503	7,980
Cost of defined contribution scheme	1,696	1,134
	118,633	114,419

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 29 September 2024

The average monthly number of employees, including the directors, during the period were as follows:

	Period ended 29 September 2024	Period ended 1 October 2023
	No.	No.
Store partners	5,418	5,500
Administration	178	183
	5,596	5,683

8. Directors' remuneration

	Period ended 29 September 2024	Period ended 1 October 2023
	£000	£000
Directors' emoluments	775	1,028
Vested shares	202	86
Company contributions to defined contribution pension schemes	7	6
	984	1,121

During the period retirement benefits were accruing to two directors (FY23: two) in respect of defined contribution pension schemes.

The highest paid director received emoluments of £597,748 (FY23: £770,379).

The value of the Company's contributions paid to a defined contribution pension scheme in respect of the highest paid director amounted to £7,250 (FY23: £6,000).

Starbucks Coffee Company (UK) Limited

Notes to the financial statements
For the period ended 29 September 2024

9. Interest receivable and similar income

	Period ended 29 September 2024	Period ended 1 October 2023
	£000	£000
Interest receivable:		
IFRS16 interest income	234	108
Total interest receivable and similar income	234	108

10. Interest payable and similar charges

	Period ended 29 September 2024	Period ended 1 October 2023
	£000	£000
Interest payable:		
Interest payable to related parties	1,347	—
IFRS16 Interest	5,235	2,713
Interest payable to third parties	17	21
Total interest payable and similar charges	6,599	2,734

Interest payable to related parties at a rate of 5.47% for FY24 (FY23: Nil).

Starbucks Coffee Company (UK) Limited

Notes to the financial statements
For the period ended 29 September 2024

11. Taxation charge on profit

	Period ended 29 September 2024 £000	Period ended 1 October 2023 £000
Corporation tax		
UK corporation tax	—	7,694
Adjustment in respect of prior years		
- UK corporation tax	455	(467)
	<u>455</u>	<u>7,227</u>
Deferred tax		
Origination and reversal of timing differences	522	(555)
Adjustment in respect of prior years	—	482
Effect of tax rate change on opening balance from 19% to 25%	—	—
Tax charge for the period	<u><u>977</u></u>	<u><u>7,154</u></u>

Corporation tax is calculated at 25.0% of the estimated taxable profit for the year (FY23: 22.0%).

The Finance Act 2021, which provides for an increase in the main rate of UK corporation tax from 19% to 25% effective from 1 April 2023, was enacted in June 2021. Deferred taxes at the reporting date have been measured and reflected in these financial statements using the enacted tax rate at the year end of 25%.

The Organisation for Economic Cooperation and Development has released guidance establishing a 15% global minimum tax applied on a country-by-country basis for multinational entities under Pillar Two of its Base Erosion and Profit Shifting initiative. As of 29 September 2024, the United Kingdom have enacted legislation to adopt Pillar Two effective for fiscal years beginning on or after 31 December 2023. This global minimum tax will not be effective for the Company until fiscal 2025. In accordance with the amendments to IAS 12, the Company has applied the mandatory temporary exception from accounting for deferred taxes related to Pillar Two income taxes. Consequently, no deferred tax liabilities or assets have been recognised in respect of these rules. The Company does not expect a material impact as a result of the Pillar Two legislation as the group expects the UK to qualify for the transitional safe harbour provisions. The Company continues to monitor regulatory developments with respect to this initiative for potential impacts.

Starbucks Coffee Company (UK) Limited

Notes to the financial statements For the period ended 29 September 2024

The charge for the period can be reconciled to the profit in the Profit and loss account as follows:

	Period Ended 29 September 2024	Period Ended 1 October 2023
	£000	£000
Loss/ profit before tax on continuing operations	(35,234)	16,870
Tax at the UK Corporation tax rate of 25.0% (2023: 22.0%)	(8,809)	3,713
Tax effects of:		
Tax effect of expenses not deductible for tax purposes	178	125
Fixed asset differences	9,363	420
Share based payments	(132)	(83)
Movement in deferred tax asset not recognised	(362)	2,868
Adjustments to tax charge in respect of prior years	455	23
Other permanent differences	284	88
Tax charge for the period	977	7,154

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Notes to the financial statements For the period ended 29 September 2024

12. Tangible fixed assets

	Short leasehold property £000	Fixtures and fittings £000	Plant and equipment £000	Asset retirement obligation £000	Assets in course of construction £000	Total £000
Cost						
At 1 October 2023	103,536	51,641	49,824	2,961	8,703	216,665
Additions	22,899	49	7,775	—	5,923	36,646
Transfers	6,999	—	—	—	(6,999)	—
Disposals	(11,569)	(170)	(4,321)	(22)	—	(16,082)
At 29 September 2024	121,865	51,520	53,278	2,939	7,627	237,229
Depreciation						
At 1 October 2023	63,055	37,011	33,329	2,790	—	136,185
Charge for the period	9,101	115	5,672	10	—	14,898
Disposals	(9,572)	(170)	(3,536)	—	—	(13,278)
Impairment charge	9,730	4,113	4,254	—	—	18,097
At 29 September 2024	72,314	41,069	39,719	2,800	—	155,902
Net book value						
At 29 September 2024	49,551	10,451	13,559	139	7,627	81,327
At 1 October 2023	40,481	14,630	16,495	171	8,703	80,480

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Company makes an estimate of the asset's recoverable amount in order to determine the extent of the impairment loss. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets.

During the current period, the Company evaluated the recoverable amount of tangible fixed and right-of-use assets, based on the present value of estimated cash flows for each store, using a pre-tax discount rate of 10.50% (FY23: 10.75%), a range of short-term growth rates appropriate to the strategy for each asset and a 4% (FY23: 4%) long-term growth rate. The Company assessed the sensitivity of the above growth rates, adjusting these variables, along with the discount rate to assess the impairment sensitivity through the value in use models.

At the end of the financial year, there was a net impairment of £28.4M for tangible fixed assets and right-of-use assets in aggregate, this included £0.3M impairment reversals on 35 stores and an impairment charge of £28.7M on 145 stores.

The sensitivity of the following assumptions and their impact on PPE and ROU impairment is as follows:

A 2% increase in inflationary cost pressures would lead to a net impairment of £31.2M (increase of £2.8M); this would include £0.4M impairment reversals on 34 stores and an impairment charge of £31.5M on 147 stores.

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A 2% reduction in the long-term growth rate being used would lead to a net impairment charge of £31.0M (increase of £2.6M); this would include £0.4M impairment reversals on 35 stores and an impairment charge of £31.4M on 147 stores.

A -10% drop in the short-term growth rate would lead to a net impairment of £34.8M (increase of £6.5M); this would include £0.1M impairment reversals on 33 stores and an impairment charge of £34.9M on 156 stores.

A 1.3% rise in inflationary labour cost pressures and a 3% price increase would result in a net impairment of £25.3M (reduction of £3.1M); this would include £0.4M in impairment reversals on 35 stores and an impairment charge of £25.7M across 138 stores.

13. Right-of-use Asset

	Property	Total
	£000	£000
Cost		
At 1 October 2023	249,726	249,726
Additions	33,911	33,911
Modifications	8,949	8,949
Disposals	(1,272)	(1,272)
At 29 September 2024	291,314	291,314
Accumulated depreciation		
At 1 October 2023	103,028	103,028
Charge for the period	25,347	25,347
Impairment	10,288	10,288
Disposals	(1,009)	(1,009)
At 29 September 2024	137,654	137,654
Net book value		
At 29 September 2024	153,660	153,660
At 1 October 2023	146,698	146,698

The recoverability of the right-of-use asset was tested, as part of the annual impairment review by the Company, for impairments. The impairment review of the right-of-use asset in the above table, were tested along with the carrying values of the Tangible fixed assets within Note 12.

The total cash outflow for leases amount to £31,896,592 (FY23 : £29,088,998).

14. Stocks

	29 September 2024	1 October 2023
	£000	£000
Goods for resale	1,981	1,678
	1,981	1,678

There is no material difference between the Balance sheet value of stocks and their replacement cost.

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For the period ended 29 September 2024

15. Debtors

	29 September 2024 £000	1 October 2023 £000
Amounts falling due after more than one year:		
Deferred tax asset	37	559
	37	559
	29 September 2024 £000	1 October 2023 £000
Amounts falling due within one year:		
Trade debtors	27,273	27,974
Expected credit loss provision	(83)	(142)
Accrued Income and other debtors	5,554	5,852
Amounts due from other group undertakings	2,186	1,651
Investment in sublease (note 18)	2,176	2,061
Prepayments	3,978	2,421
	41,084	39,817

The terms of group intercompany invoices are settled on 30 day terms. No interest is charged on this balance and this balance is unsecured.

16. Creditors - amounts falling due within one year

	29 September 2024 £000	1 October 2023 £000
Trade creditors	9,441	17,980
Amounts owed to group undertakings	72,178	34,656
Other taxation and social security	2,362	9,261
Current lease liability (note 18)	31,027	27,527
Other creditors	3,268	3,185
Deferred income	5,582	4,611
Accruals	20,518	25,209
	144,376	122,429

Amounts owed to other group undertakings includes a £40,000,000 (FY23: £Nil) draw down facility due to expire 31 December 2024. Interest payable to related parties at a rate of 5.47% for FY24 (FY23: Nil).

The remaining balance relates predominantly to the purchase of coffee from Starbucks for resale within the UK market. The terms of group intercompany invoices are settled on 30 day terms. No interest is charged on this balance.

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17. Creditors - Amounts falling due after more than one year

	29 September 2024	1 October 2023
	£000	£000
Non current lease liability (note 18)	159,037	145,642
Accruals and deferred income	85	38
	<u>159,122</u>	<u>145,680</u>

Accrued and deferred income amounts due after more than one year consist of deferred revenue relating to stored value cards.

18. Lease Liability

	29 September 2024	1 October 2023
	£000	£000
Maturity		
Year 1	31,027	27,527
Year 2	29,051	23,746
Year 3	26,412	21,481
Year 4	22,715	18,697
Year 5	20,871	14,580
Onwards	83,752	71,567
	<u>213,828</u>	<u>177,598</u>
Less unearned interest	<u>(23,764)</u>	<u>(4,429)</u>
	<u>190,064</u>	<u>173,169</u>
Analysed		
Non Current	159,037	145,642
Current	31,027	27,527

The Company does not face a significant liquidity risk with regard to its lease liabilities. Lease liabilities are monitored within the Company's accounting and property functions.

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Below is a maturity analysis of the investment in the sublease:

	29 September 2024 £000	1 October 2023 £000
Maturity		
Year 1	2,176	2,061
Year 2	1,851	1,783
Year 3	1,630	1,498
Year 4	1,509	1,394
Year 5	1,391	1,274
Onwards	4,409	7,153
	<u>12,966</u>	<u>15,163</u>
Less unearned interest	<u>(231)</u>	<u>(212)</u>
	<u>12,735</u>	<u>14,951</u>
Analysed		
Non Current	10,558	12,890
Current	2,176	2,061

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19. Deferred tax

The following are the major deferred tax liabilities and assets recognised by the Company and movements thereon during the current reporting period.

	Share Based Payments £000	Fixed Asset Timing Differences £000	Provisions £000	Total £000
At 1 October 2023	494	—	65	559
(Charge)/credit to profit or loss	132	(664)	10	(522)
At 29 September 2024	626	(664)	75	37

Deferred tax assets and liabilities are offset where the Company has a legally enforceable right to do so. The following is the analysis of the deferred tax balances (after offset) for financial reporting purposes:

	29 September 2024 £000	1 October 2023 £000
Deferred tax assets	37	559
	37	559

The company has had a policy of not claiming capital allowances for a number of years which has given rise to a deferred tax asset not recognised in the financial statements of £63,264,412 (FY23: 64,290,498) relating to unclaimed writing down capital allowances. In FY24, the Company reviewed its policy and the Directors continue to have no intention of claiming these writing down capital allowances, but have started claiming full expensing capital allowances on certain eligible assets and a deferred tax liability has been recognised in relation to this as shown above.

20. Share capital

	29 September 2024 £000	1 October 2023 £000
Authorised, allotted, called up and fully paid		
3,170,856 (2023: 3,170,856) ordinary shares of £0.10 each	317	317

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Notes to the financial statements For the period ended 29 September 2024

21. Reserves

The Company's reserves are made up as follows:

Called up share capital

Called up share capital represents the nominal value of shares that have been issued.

Share premium account

The share premium account records the amount above the nominal value received for shares sold, less transaction costs.

Statement of Profit or loss

The Statement of Profit or loss represents cumulative profits, losses and total other recognised gains or losses made by the Company, including distributions to, and contributions from, the parent company.

22. Other Commitments

At 29 September 2024, the Company had entered into commitments for capital expenditure with respect to Property Plant and Equipment of £683,575 (FY23: £2,190,001).

23. Share-based payments

Equity-settled share option scheme

The Company participates in a share option scheme for all employees. Options are exercisable on the shares of the ultimate parent company, Starbucks Corporation, at a price equal to the estimated fair value of the parent company's shares on the date of grant and are treated as equity-settled share based payments.

No options were granted in fiscal 2024 and 2023.

The total expense recognised in the year in respect of equity settled share based payments was £2.8m (FY23: £2.7m) and these have been credited to capital contribution.

24. Parent company and ultimate parent company

The Company's immediate parent company and controlling party is Starbucks Coffee Holdings (UK) Limited, a company incorporated in the United Kingdom and registered in England and Wales.

Starbucks Corporation, a company registered in Washington, USA, is considered to be the ultimate parent and controlling party, and is the largest and smallest group in which the results of the Company are consolidated. The registered office address is 2401 Utah Avenue South, Seattle, Washington, USA.

Copies of the consolidated financial statements of Starbucks Corporation can be obtained from the Investor Relations section of the Starbucks website at investor.starbucks.com.

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Notes to the financial statements For the period ended 29 September 2024

25. Retirement benefit schemes

Defined contribution schemes

The Company operates defined contribution retirement benefit schemes for all qualifying partners. The assets of the schemes are held separately from those of the Company in funds under the control of trustees. Where there are employees who leave the schemes prior to vesting fully in the contributions, the contributions payable by the Company are reduced by the amount of forfeited contributions.

The total cost charged to income of £1,696,280 (FY23: £1,134,346) represents contributions payable to these schemes by the Company at rates specified in the rules of the plans. As at 29 September 2024, contributions of £125,785 (FY23: £7,558) due in respect of the current reporting period had not been paid over to the schemes.

26. Post balance sheet event

Subsequent to the balance sheet date, the Company undertook the following significant events:

Intercompany revolving credit agreement & capital contribution

On 1 January 2024 the Company entered into a revolving credit agreement with the ultimate parent company for £40,000,000 (FY23: £Nil) for 12 months to 31 December 2024. The interest rate due on the facility is fixed at 5.47% FY23: Nil).

On 9 December 2024 the Company received a capital injection of £30,000,000 (FY23: £nil) from the ultimate parent company. On this date the company also paid down £20,000,000 of the Intercompany revolving credit agreement (FY23: £nil).

At 31 December 2024 £20,000,000 remained outstanding on the revolving credit agreement and the agreement was extended to 31 December 2025 with a fixed interest rate of 5.19%.

Acquisition of a New Licensee

On 14 October 2024, Starbucks Corporation acquired 23.5 Degrees Limited, the brand's largest local licensing operator in the UK, bringing an additional 113 stores under Company Operated Ownership in the UK. It is anticipated in the future that these stores will be integrated into the Company.

Both events are considered a non-adjusting event and does not impact the financial position reported as of 29 September 2024.

No other matter or circumstance has arisen since 29 September 2024 that has significantly affected, or may significantly affect the consolidated entity's operations, the results of those operations, or the consolidated entity's state of affairs in future financial years.